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Advancing operational excellence for social good

2 CFR 200

Definitions

Pre-award requirements

Financial management standards

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2 CFR 200

- **Subpart A** – Acronyms and Definitions
- **Subpart B** – General Provisions
- **Subpart C** – Pre-Federal Award Requirements and Contents of Federal Awards
- **Subpart D** – Post Federal Award Requirements
  - ✓ Financial and program management
  - ✓ Property standards
  - ✓ Procurement standards
  - ✓ Performance and financial monitoring and reporting
- **Subpart E** – Cost Principles
- **Subpart F** – Audit Requirements

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Recent changes to 2 CFR 200

- Revisions to 2 CFR 200 released August 13
  - Changes apply to new awards
  - Most changes go into effect on November 12 except for two that went into effect on August 13
- Most changes are minor but we will point out significant changes

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Subpart A: Acronyms and Definitions

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Question 1

Acquisition Cost

You recently bought a new photocopier. It arrived with the wrong sorting tray. You returned the sorting tray and received the correct one. What items do you include as part of the **acquisition cost**?

- Purchase price
- Delivery cost of copier
- Cost of returning incorrect sorter
- Cost of setting up the copier
- Cost of insurance while in transit
- Cost of insurance once installed

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Answer

Acquisition Cost

It depends on the organization's operating procedures what costs are included or excluded from the acquisition cost.

- Purchase price - Yes
- Delivery cost of copier - Yes
- Cost of returning incorrect sorter – Vendor's cost
- Cost of setting up the copier - Yes
- Cost of insurance while in transit - Yes
- Cost of insurance once installed – No

Reference: 2 CFR 200.1

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Small words are significant

- And = all apply
- Or = only one applies
- Must/shall = required
- May = optional

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Types of Awards

Cost reimbursable

Grant Agreement

Cooperative Agreement

✓Includes Substantial Involvement

Milestone-based

Fixed Amount Award

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Subpart B: General Provisions

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English Language

200.111

- All awards are in English
- Recipients must provide a translation of the award if a significant portion of employees working on the award are not fluent in English

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Subpart C: Pre-Award Requirements

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Risk Evaluation and Specific Conditions

200.206, 200.208

- USAID must evaluate the risks posed by a recipient before giving an award
- Based on the risk evaluation, USAID can include specific conditions in the award to address the risks
- Specific conditions can also be applied if an organization:
  - ✓ Has not complied with the terms and conditions of a previous award
  - ✓ Cannot meet performance goals

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Debarment/Suspension

200.214

- Restricts subawards and contracts with debarred or suspended individuals or companies
- Check the System for Award Management www.sam.gov
- In each subaward prior approval request, confirm your organization has screened the subrecipient in SAM

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Financial and Program Management

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Standards for Financial Management Systems

200.302

- Identify all federal awards
- Do accurate, complete, reporting for **all** funds
- Manage and report on source/application of funds
- Safeguard assets
- Have source documentation
- Monitor budgets, do budget to actual comparisons
- Determine reasonableness, allocability and allowability of expenses

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Internal Controls

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Internal Controls

200.303

- Internal controls must:
  - Provide reasonable assurance organization is in compliance
  - Evaluate and monitor compliance with the terms and conditions of the award
  - Take prompt action when noncompliance issues are identified
  - Take measures to protect confidential and/or sensitive information

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Payments

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Payments

200.305

- Criteria for receiving advance payments
  - ✓Must minimize cash on hand
  - ✓Have financial system standards
- Form to be used for advance or reimbursement requests: Standard Form 270 (SF-270)
- Organizations can request reimbursement payments at least monthly
- USAID must make reimbursements within 30 days

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Withholding Payments

200.305

- USAID will not withhold payments for allowable costs
- Payments can be withheld if the organization:
  - ✓Fails to comply with project objectives or terms and conditions of award
  - ✓Is delinquent in paying a debt to the US government

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Banking and Interest

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Question 2

Banking and interest

You have a one year USAID funded project for $300,000. USAID gives you an initial advance of $50,000. The local bank offers the following options:

- Interest bearing account: No fees. Minimum balance of $5,000.
- Non-interest bearing account: No minimum balance. Monthly fee of $10.

Which account would you open and why?

Reference: 2 CFR 200.305.b.8 Payments, banking, interest

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Answer

Banking and interest

A non-interest bearing account would probably be best. An interest bearing account would require too high a balance on deposit to be reasonable. Putting such a large amount of funds on deposit would restrict the funds available for project implementation and would be against USAID's regulations to have minimum cash on hand. The monthly fees are an allowable expense.

Reference: 2 CFR 200.305.b.8 Payments, banking, interest

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Interest

200.305.b.9

- Interest earned must be remitted to the US Government
- US organizations can retain up to $500 per year (total from all USAID funds) for administrative expenses

* Non-US organizations can retain up to $250 per year

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Key Points – Financial Management

- Specific conditions can be applied for poor performance or non-compliance with requirements
- Every effort must be made to minimize the amount of funds on hand received through advances
- Financial requirements are basic good business practices for a well managed organization

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See you at the next webinar

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